

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 25-29

MAC Industries Inc.

v.

COSCO Shipping Lines Co. Ltd.

**RESPONDENTS' OPPOSITION TO COMPLAINANT'S MOTION FOR
LEAVE TO FILE AMENDED COMPLAINT**

Respondent COSCO Shipping Lines Co., Ltd. ("COSCO") and putative Respondent COSCO Shipping Lines (North America), Inc. ("CSLNA," and together with COSCO, "Respondents"), by their undersigned attorneys, respectfully submit this Opposition to the Motion for Leave to File Amended Complaint (the "Motion") filed by MAC Industries Inc. DBA MAC Container Line ("Complainant" or "MAC"). Respondents submit this Opposition pursuant to the Presiding Officer's May 21, 2026 Order and 46 C.F.R. § 502.70, showing that MAC has not cured the defects in its original complaint ("Complaint"), but has instead multiplied them.

BACKGROUND

On December 18, 2025, MAC filed its Complaint, alleging various violations of the Shipping Act of 1984 (the "Shipping Act") by Respondents. On January 23, 2026, Respondents moved to dismiss the Complaint for failure to state a claim and for lack of jurisdiction over CSLNA, and on May 21, 2026, the Presiding Officer dismissed the Complaint, but allowed MAC to file a Motion for Leave to File an Amended Complaint no later than June 12, 2026.

MAC filed such a motion on June 12, 2026, along with a proposed Amended Complaint. Among other things, the proposed Amended Complaint seeks to (i) re-add CSLNA as a

respondent, even though previously dismissed by the Presiding Officer on jurisdictional grounds, and (ii) add COSCO Shipping Lines (India) Private Limited (“CIN”) (another entity outside the Commission’s jurisdiction)¹ as a new Respondent.

ARGUMENT

I. INTRODUCTION

Due to time and page limitations, Respondents cannot and do not address issues relating to MAC’s continued failure to state a claim regarding the various statutory sections MAC claims COSCO violated. Respondents will leave that to a motion to dismiss, in the unlikely event that leave to amend is granted. The Opposition will instead focus on two points.

1. The Motion should be denied with prejudice because MAC has *for a second time* failed to comply with the Commission’s Rules, despite previous admonishment by the Presiding Officer.
2. Even if the matter is allowed to proceed, CSLNA and CIN must be excluded from any amended Complaint because the FMC lacks personal and subject matter jurisdiction over such entities.

II. LEGAL STANDARD

Although the Commission, like the federal courts, is liberal in granting leave to amend, that liberality is not without limit. As stated by Federal Rule 15(a)(2), leave to amend “should be freely given when justice so requires.”

¹ Counsel for COSCO has no authority to represent CIN, so service on COSCO counsel is not service on CIN. Even if CIN could be a respondent, which it cannot, it would first need to be served in accordance with the Hague Convention on Service. *See Samsung Electronics America, Inc. v. Orient Overseas Container Line Limited*, FMC Dkt. No. 24-17, 2025 WL 1937538 at *4 (ALJ Order Finding that Korean Company had to be served under Hague Convention, July 10, 2025).

Leave to amend is not normally given where justice does not require. It may be denied, *inter alia*, where an amendment would be futile, where there is bad faith or a dilatory motive, where amendment would prejudice the respondent, or where there the complainant failed cure deficiencies by previous amendments. *Bancoult v. McNamara*, 214 F.R.D. 5, 8 (D.D.C. 2003); *see also Foman v. Davis*, 371 U.S. 178, 182 (1962); *Roger Waterloo v. SHIP4WD, Inc.*, Dkt. 25-26, 2025 WL 3633529 (ALJ Initial Decision Granting Dismissal, December 8, 2025) (“based on the allegations in the Complaint and the supporting documents, amendment of the complaint would be futile. *See Logfret, Inc. v. Kirsha, B.V.*, 2019 WL 4689188, at *17 (ALJ Sept. 17, 2019), admin final Oct. 21, 2019. Therefore, the complaint is dismissed with prejudice.”). Leave ***should*** be denied as futile where “the proposed claim would not survive a motion to dismiss.” *James Madison Ltd. v. Ludwig*, 82 F.3d 1085, 1099 (D.C. Cir. 1996).

III. THE MOTION SHOULD BE DENIED *IN TOTO* DUE TO MAC’S FAILURE TO ADHERE TO FMC RULES

We note that MAC, which originally appeared *pro se*, has now hired counsel – one that advertises its “deep maritime roots.”² Accordingly, MAC is no longer entitled to the generous treatment previously accorded to Complainant by the Presiding Officer.

Despite hiring experienced counsel, MAC continues to violate the Commission’s Rules. Most importantly, MAC simply ignores a movant’s obligation to (i) confer with opposing counsel ***before*** filing a non-dispositive motion; and (ii) identify in such non-dispositive motion that movant conferred or attempted to confer with the other party and the result. 46 C.F.R. 71(a) (“The moving party must state within the body of the motion what attempt was made or that the discussion

² *See* Marine Log Staff, *Julia Bonestroo Banegas joins Jones Walker maritime regulatory team*, MARINE LOG (Apr. 4, 2025), <https://www.marinelog.com/uncategorized/julia-bonestroo-banegas-joins-jones-walker-maritime-regulatory-team/>.

occurred and whether the motion is opposed.”). Here, MAC does not (and could not) say that it made any attempt to confer with COSCO.

This very same deficiency affected MAC’s prior motion for leave. There, the Presiding Officer warned MAC:

“MAC’s motion for leave was not double spaced and, *more importantly*, did not indicate that the other party had been consulted. Having *established a violation* of the Commission’s rules, the question is the appropriate penalty.” May 21, 2026 Order at 2.

The Presiding Officer decided in that instance to impose little penalty, presumably because MAC was proceeding *pro se*. But there is no excuse for a repeat violation given that the Presiding Officer already called the specific deficiency to MAC’s attention, and that MAC is now represented by counsel. Despite this clear notice from both COSCO³ and the Presiding Officer, MAC’s counsel failed to confer before filing the Motion, thereby depriving Respondents of the very opportunity the Rule is designed to secure—to narrow the issues and, where possible, to avoid unnecessary motion practice.⁴ Accordingly, the Motion should be dismissed without further ado for failure to comply with the FMC’s Rules.⁵

The proposed Amended Complaint is also defective. Under the Rules, a proper complaint is to contain:

“A clear and concise *factual* statement sufficient to inform each respondent with reasonable definiteness of the acts or practices alleged to be in violation of the law,

³ See Respondents’ March 3, 2026 Reply to Complainant’s Improper Motion for Leave to Accept Out-of-Time Filing, p. 2-3.

⁴ Such prejudice is not merely procedural. Had MAC conferred, Respondents would have explained—as they do below—that the proposed amendment improperly seeks to re-add a party the ALJ already dismissed, to join a new foreign entity even more clearly outside the Commission’s jurisdiction and fails to state a claim. That might well have averted the ongoing waste of resources by both Parties and the Commission.

⁵ See, e.g., *Cool Living LLC v. Alpi U.S.A., Inc.*, Dkt. 25-28, 2026 WL 1574663 at *2 (ALJ Order Denying Motion to Amend Complaint, May 11, 2016) (failure to confer “alone constitutes sufficient grounds to deny the motion”).

and a statement showing that the complainant is entitled to relief.” FMC Rule § 502.62(a)(3) (emphasis added).

Here, the Complaint is not limited to factual statements, or even fact-based conclusions of law. Instead, it includes multiple arguments of the sort one would expect in a motion (such as the Motion for Leave) or in a brief. For example, Paragraph 67 of the proposed Amended Complaint contains detailed argument, including multiple citations in footnotes. As the courts have concluded, a complaint is an improper vehicle for presenting arguments before the court. FRCP 8(a), incorporated via FMC Rule § 502.12. This additional violation of the Commission’s Rules makes it even more appropriate to deny the Motion *in toto*.

IV. CSLNA AND CIN MUST BE DISMISSED FOR LACK OF FMC JURISDICTION

The Presiding Officer, in dismissing MAC’s original Complaint, determined that it “does not plausibly allege that CSLNA was a regulated entity over which the Commission has subject matter or personal jurisdiction.”⁶ MAC’s proposed Amended Complaint nevertheless not only re-names CSLNA as a putative Respondent but also purports to add yet another non-jurisdictional entity, CIN, which is located in India. Such amendments could not possibly survive a motion to dismiss, which would elaborate on the summary below, so must be denied.

MAC concedes that CSLNA and CIN are not common carriers but asserts they are properly named as “agents” of COSCO. (Am. Compl. ¶ 9.) But COSCO has already demonstrated in its January 23, 2026 Motion to Dismiss that this position – that the Commission may assert jurisdiction over an agent of an ocean common carrier -- is contrary to the Shipping Act and has been flatly rejected by the D.C. Circuit. As previously explained:

“In *Landstar Express Am., Inc. v. FMC*, 569 F.3d 493, 494 (D.C. Cir. 2009), for example, the U.S. Court of Appeals for the D.C. Circuit held that ***the Shipping Act does not allow an agent of a common carrier to be regulated as a common carrier***

⁶ May 21, 2026 Order on Motion to Dismiss, p. 7.

unless such entity holds out in its own name to perform as a common carrier. Then-Judge Kavanaugh's opinion started with “the basic rule-of-law maxim that statutory text binds federal agencies” and concluded that “the Commission does not possess statutory authority to require agents of Ocean Transportation Intermediaries who are not themselves Ocean Transportation Intermediaries to obtain licenses.” *Id.* He further explained that “an agent of an NVOCC by definition is not a “common carrier,” and thus not an “NVOCC” as described in the Act.” *Landstar Express*, 569 F.3d 494 (emphasis added). *See* Respondents’ January 23, 2026 Motion to Dismiss, p. 15, fn. 4.

The Motion does not even address *Landstar*. Instead, MAC relies on *TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp.*, Docket No. 1966(I), 2022 WL 18068977 (FMC Dec. 29, 2022). *TCW* does not support naming CSLNA or CIN here.

Without going into the detail of a motion to dismiss, the Commission has already rejected MAC’s argument. In *International Express Trucking, Inc. v. COSCO & CSLNA as Agent for COSCO*, Dkt. 24-20, 2025 WL 1662700 at *4 (Order Granting Motion to Dismiss, March 10, 2025, Admin Final), the ALJ held that *TCW* does not give the FMC jurisdiction over VOCC agents ***unless*** such agents ***acted as principals***. The proposed Amended Complaint does not allege that either CLSNA or CIN acted as a principal with respect to the transaction at issue.

In sum, as the Presiding Officer has already concluded about CLSNA, neither CSLNA nor CIN is a regulated entity. The proposed Amended Complaint pleads no facts that either entity holds itself out in its own name as a regulated entity. To the contrary, MAC’s own pleadings describe CSLNA as COSCO’s “U.S. agent” and CIN as COSCO’s agent. As explained by *IXT*, the mere fact that CSLNA transmitted the detention invoice does not change the analysis, because CSLNA did so as an agent, not a principal. CIN — a foreign entity organized in India — has still less connection to the Commission’s jurisdiction: MAC does not even allege that CIN holds out as a common carrier in the U.S. trades or is otherwise subject to FMC regulation. Nor does it assert that CIN acted as a principal regarding the shipment.

V. CONCLUSION

For the foregoing reasons, The Presiding Officer should deny the Motion. If some claims are allowed to go forward, which they should not be, CSLNA and CIN must be excised from the proposed Amended Complaint for jurisdictional reasons.

Dated: June 22, 2026

Respectfully submitted,



Rebecca A. Fenneman
Eric C. Jeffrey
Kaya C. Massey
Nicholas L. Webb
JEFFREY/FENNEMAN LAW + STRATEGY PLLC
700 12th St. NW, Suite 700
Washington, DC 20005

*Counsel for Respondents COSCO Shipping
Lines Co., Ltd. and COSCO Shipping Lines
(North America), Inc.*

CERTIFICATE OF SERVICE

I hereby certify that on June 22, 2026, I served a copy of the foregoing Respondents' Opposition to Complainant's Motion for Leave to File Amended Complaint on the following counsel of record for Complainant by email, in accordance with 46 C.F.R. § 502.114, and filed the original with the Secretary of the Commission.

Attorneys for Complainant

Julia Bonestroo Banegas, Esq.
jbanegas@joneswalker.com

Christopher M. Hannan, Esq.
channan@joneswalker.com

Abigail J. Weiland, Esq.
aweiland@joneswalker.com

Respectfully submitted,

/s/ Kaya Massey